DEEPSTACK The Buildout · Part 11 · Memo

MARKETS

The Backlog Is Not the Quarter

Ciena carries a $10 billion order book, Microsoft's far backlog grew three times as fast as its near one, and Nvidia now waits a year to be paid. The orders will ship. DeepStack expects the profit to arrive later, and the third-quarter reports to show the gap.

By DeepStack · October 8, 2026 · Markets · 11 min read on the page · deepstack.ltd/stories/the-backlog-is-not-the-quarter/

THE DEEPSTACK CALL

Split Revenue yes, margin not yet

The orders will ship. The profit comes later, and a margin that lags the ramp will be reported as a demand miss.

Conviction Moderate (3/5) · Version 2 · Oct 9, 2026

WHAT TO DO WITH THIS

1. Split every backlog into what is due within a year and what is not; a far book outgrowing the near one three to one is mostly forecast.
2. Credit prepaid or bring-your-own-hardware orders as revenue and the rest as options; read a residual-value guarantee as the lender's doubt.
3. Hold gross margin against the stated target before crediting the ramp: Perma-Pipe's 30% in December is the line to clear.

WHAT WOULD CHANGE OUR MIND

- Microsoft's within-a-year backlog grows as fast as the beyond-a-year book on October 28.
- Nvidia's days sales outstanding give back the 14 days Eisman counted, or its terms for investment-grade customers return to 90 days.
- Perma-Pipe converts $57 million or more at a gross margin above 30% while Lumentum and Coherent report their ramps at target margin.

THE FULL ARGUMENT

DeepStack's view is that the orders are real and the near book will ship. Prepaid and supply-constrained demand converts into revenue at the pace of capacity, and nothing in these reports suggests capacity will sit idle in the third quarter. The single most important reason for caution is that profit arrives later than revenue. Between the order and the margin sit ramps absorbing fixed costs ahead of volume, payment terms stretched to a year, revenue deferred until a deployment is complete, a far book outgrowing the near one three to one, and assets whose life the buyers' own lenders now cover with guarantees. DeepStack expects the third-quarter reports to confirm the shipments and to show margin lagging the ramp; the margin reading is the house's, drawn from the suppliers' own targets and from Burry's case on asset life against Tae Kim's and Slok's. The view changes if Microsoft's within-a-year backlog grows as fast as the beyond-a-year book, if Nvidia's days sales outstanding give back the 14 days Eisman counted or its terms for investment-grade customers return to 90 days, or if Perma-Pipe, Lumentum and Coherent report their ramps at target margin. The first answer arrives October 28.

CALL HISTORY

Version	Date	Stance	Conviction	Reason	By
v2	Oct 9, 2026	Revenue yes, margin not yet	Moderate (3/5)	Side named by the owner.	Marco Cauduro
v1	Oct 8, 2026	Revenue yes, margin not yet	Moderate (3/5)	First call, with the story.	DeepStack

BY THE NUMBERS

$10B
Ciena's backlog floor at the end of fiscal 2026
Ciena management, as reported by Gaetano, Sep 17, 2026; supply secured through fiscal 2029

113%
Growth in Microsoft's backlog due beyond one year
Microsoft filing, as read by Michael Burry, Sep 24 to 26, 2026; the book due within a year grew 37%

1 year
Nvidia's terms for its best-rated customers
From 90 days; Steve Eisman with Ed Zitron, Sep 9, 2026

$28B
Meta's residual-value guarantee on its data-center venture
Meta filing, as read by Michael Burry, Sep 24, 2026; $10.8 billion moved to restricted cash

WHO IS ON EACH SIDE

Do the orders turn into profit?

Each voice is attributed and paraphrased, dated where the date is known, with a link where one exists. DeepStack shows no score, ranking or accuracy for any person. The page: `deepstack.ltd/sides/the-backlog-is-not-the-quarter/`

13 VOICES

Funded, not forecast

Gaetano Sep 15, 2026

The hyperscaler thesis is that AI makes businesses they already own more valuable, that owning the customer relationship makes them less dependent on predicting which model wins, and that broad agent usage creates recurring compute demand, while…

`gaetanoresearch.substack.com/p/if-ai-slows-down-heres-where-i-still`

Gaetano Sep 15, 2026

What matters for hyperscaler investment is the relationship between earnings growth and the capital required to produce it rather than when capex peaks; Meta in 2023 illustrates the cash-flow math, with operating cash flow going from $50.5B to…

`gaetanoresearch.substack.com/p/if-ai-slows-down-heres-where-i-still`

Aurelion Research Sep 11, 2026

The binding constraint on NVIDIA is supply rather than demand: unconstrained revenue growth was described as potentially above 100% YoY while guidance was near 70% growth because of supply limits, and the CFO framed the FY2028 70% growth outlook as…

`read.aurelionresearch.com/p/in-conversation-nvidia`

Aurelion Research Sep 24, 2026

Fabrinet's next step depends on turning new manufacturing roles in NPO, CPO, and scale-across into real volume; it will be necessary to confirm which steps Fabrinet handles in NPO, CPO, and ELS production programs, whether multi-rail programs show…

`read.aurelionresearch.com/p/ciena-and-fabrinet-the-road-ahead`

Ren Sep 25, 2026

Muse is not important because of its underlying model; the real story is that Meta is assembling every component an AI needs to act on a user's behalf in the real economy: dedicated compute, a memory of the user, access to logins, a way to pay, and…

Ren Jul 27, 2026

In the August 14, 2026 edition, the author argues: Demand for the theme is already funded rather than forecast: TSMC guides to 52-56 billion dollars of 2026 capex, chip equipment sales just set a record, and the silicon photonics market is modelled…

renstocks.substack.com/p/you-want-the-light-here-are-three

Kakashii Sep 24, 2026

Unlike Amazon, Google and Microsoft, which had strong free cash flow, strong balance sheets and little or no debt pre-AI era letting them own their datacenters and equipment, Oracle entered the AI era already carrying dozens of billions in debt…

kakashiii111.substack.com/p/oracle-hyperscaler-or-neocloud-a

Kakashii Sep 24, 2026

The majority of Oracle's 26 billion QoQ RPO growth in Q1 came via prepayment or bring-your-own-hardware arrangements, meaning the new contracts won't require incremental capital from Oracle and, according to Oracle, support its guidance that…

kakashiii111.substack.com/p/oracle-hyperscaler-or-neocloud-a

Daniel Romero Sep 16, 2026

Group Up added capacity too slowly, which will limit growth for the next two years, and with the production ramp slipping to the end of 2028 plus the largest company-wide salary increase in its history amid a Taiwanese engineer shortage, there may…

hypertechinvest.com/p/portfolio-update-part-2

Daniel Romero Sep 16, 2026

Among the three memory names Daniel Romero holds, only Samsung is rated a Buy, because of foundry, advanced packaging, new memory architectures, unique vertical integration for base dies versus SK hynix, and because it is the cheapest of the three…

hypertechinvest.com/p/portfolio-update-part-2

Tae Kim Oct 2, 2026

Tae Kim believes that if OpenAI were public, its stock would have gapped up 30% or more on hitting $70 billion in ARR, a blowout versus expectations on the level of Nvidia in May 2023, and that the figure proves his August report that OpenAI's ARR…

Tae Kim Sep 22, 2026

Despite Muse's initial traction, its long-term success is far from assured; Meta can cross-promote it across Facebook, Instagram, and WhatsApp, but competitors with similar distribution advantages are coming, with OpenAI likely being the biggest…

Torsten Slok Sep 21, 2026

Consensus expects hyperscalers' operating cash flow to more than triple by 2030, outpacing the sharp increase in AI-driven capex, based on FactSet and Apollo Chief Economist sources for Google, Meta, Amazon, Microsoft and Oracle.

www.apollo.com/insights-news/insights/daily-spark/hyperscaler-credit-rests-on-one-consensus-assumption

THE STRONGEST CASE AGAINST THIS SIDE

Michael Burry Sep 24, 2026

Meta's data center JV structure shows that the parties closest to the assets do not believe the value will hold: lenders would not bear residual value risk without protection, so Meta issued a residual value guarantee of up to $28 billion on...

Contradicts Gaetano on evidence · michaeljburry.substack.com/p/capital-cycle-iq-and-the-forensic

12 VOICES

A backlog is a promise

Michael Burry Sep 26, 2026

Amazon's backlog grew from $200 billion at a weighted average life of 3.8 years (September 30, 2025) to $496 billion at a weighted average life of 6.4 years (June 30, 2026), just nine months later, which Michael Burry identifies as the same type of...

michaeljburry.substack.com/p/abridged-capital-cycle-iq-and-forensic

Michael Burry Sep 26, 2026

Amazon's free cash flow has gone negative again, roughly negative $8 billion, while combined uncommenced leases and purchase commitments of $267 billion are significant and growing, up 81% over the last nine months, and long-term debt raised jumped...

michaeljburry.substack.com/p/abridged-capital-cycle-iq-and-forensic

Mia Silverio Sep 28, 2026

SB's backlog isn't 100% guaranteed revenue, because most of its contracts have completion time clauses letting the customer exit the agreement or get a discount if a project is delayed by more than a year.

www.profgmedia.com/p/nobody-wants-a-data-center-not-even

Mia Silverio Sep 28, 2026

SB Energy, purportedly a data center company, has zero operational data centers, and while it has a $439 billion backlog, only 9% of contracts have actually broken ground.

www.profgmedia.com/p/nobody-wants-a-data-center-not-even

Steve Eisman Sep 9, 2026

There is a chain where NVIDIA sells chips to hyperscalers, hyperscalers' capital spending depends on the future health of OpenAI and Anthropic, and both are currently losing substantial sums, with OpenAI's revenue growth having slowed relative to...

realeismanplaybook.substack.com/p/inside-ais-fragile-ecosystem-with

Steve Eisman Sep 21, 2026

George Noble's bear case for AI rests on the question of actual return on investment; he argues that Nvidia announcing massive funding packages just to keep customers like OpenAI able to keep buying chips shows the money underneath the boom is not…

realeismanplaybook.substack.com/p/stock-picking-in-difficult-times

Kevin Sep 11, 2026

Roughly 15% of revenue is tied directly to EU and state tenders where timing is unknown and awards are not always publicly announced, and a significant portion of private-sector spending is supported by EU or government funding incentives, so the…

www.100baggerhunting.com/p/a-software-monopoly-priced-like-a

Kevin Sep 11, 2026

Ilyda is currently assessed as a genuinely good business at a boring price, with issues around revenue visibility post-2027; Kevin says his process leans more on future predictability, so he needs a better estimate of the future than just the CEO's…

www.100baggerhunting.com/p/a-software-monopoly-priced-like-a

Gaetano Sep 17, 2026

There is substance behind the growth confidence: management expects to finish FY2026 with at least $10B in backlog, says it has secured supply to support at least 30% revenue growth in FY2027, and believes it has secured supply to extend that…

gaetanoresearch.substack.com/p/cien-just-got-a-lot-more-interesting

Gaetano Sep 24, 2026

Gaetano is much more bullish on Ciena over the past two weeks given upgraded guidance and the ECOC demos, and thinks Ciena is one company being under-appreciated for its late 2027/early 2028 time frame; CFO Marc Graff said the roughly $14B fiscal…

gaetanoresearch.substack.com/p/major-optical-updates-main-takeaways

JunkBondInvestor Sep 24, 2026

JunkBondInvestor leans toward a Panther Creek lease being signed, but expects it in 2027 rather than on management's 2026 timeline, because assembling a delivery schedule, construction budget and risk allocation that both a tenant will sign and a…

www.junkbondinvestor.com/p/keel-infrastructure-keel-what-are

JunkBondInvestor Sep 20, 2026

The line between AI borrowers who can keep paying up and borrowers who are squeezed follows cash flow and financing options more than sector: a borrower with a strategic counterparty (like Meta or Alphabet), a public stock, and lenders competing…

www.junkbondinvestor.com/p/credit-weekly-who-the-hike-hits

THE STRONGEST CASE AGAINST THIS SIDE

Jensen Huang Sep 29, 2026

NVIDIA will generate increasingly large amounts of cash from being at the center of what he calls the largest industrial infrastructure build out in human history, and the smart use of that cash is to buy NVIDIA stock because he believes it is...

Contradicts Steve Eisman on mechanism · taekim.substack.com/p/jensen-huang-press-q-and-a-nvidia

10 VOICES

Shipping is not earning

Edelbridge Alpha Sep 22, 2026

Edelbridge Alpha's model assumes $11.1 billion of FY28 revenue, materially above consensus expectations of roughly $9.6 billion, and notes reaching it would require OCS to scale quickly, high-power laser shipments to ramp with CPO and NPO...

edelbridge.substack.com/p/should-you-buy-lumentum

Edelbridge Alpha Sep 22, 2026

At current levels Edelbridge Alpha does not find the risk/reward attractive, because reaching their target requires strong execution on manufacturing ramps, sustained pricing power, and continued demand growth, and earnings must translate into cash...

edelbridge.substack.com/p/should-you-buy-lumentum

Multibagger Ideas Sep 28, 2026

Management expects 40% to 50% of backlog to convert to revenue in Q3 alone, roughly $57M to $71M, and Multibagger Ideas views this conversion as making it achievable for the second half to deliver more than $12.7M of net income to common needed to...

multibaggerideas.substack.com/p/new-multibagger-idea-24-growth-ai

Multibagger Ideas Sep 28, 2026

Multibagger Ideas states the position earns its next tranche if Q3 results in December show backlog converting as guided and gross margin moving back toward 30%, or if Jordan becomes a definitive award; another receivable write-off or gross margin...

multibaggerideas.substack.com/p/new-multibagger-idea-24-growth-ai

Schwar Capital Research Sep 19, 2026

Management said substantially all of the backlog is expected to be completed within the next twelve months and expects approximately 40-50% of the $142.3 million backlog to convert to revenue in the third quarter, implying $57-71 million of Q3...

www.schwarcapital.com/p/revenue-up-24-backlog-at-a-record

Schwar Capital Research Sep 19, 2026

Schwar Capital Research will be watching whether Q3 revenue conversion clears the 40-50% backlog guidance ($57-71 million) and beats the $61.2 million Q3 fiscal 2025 record, whether book-to-bill stays above 1x, whether gross margin moves toward the...

www.schwarcapital.com/p/revenue-up-24-backlog-at-a-record

Daniel Romero

Late capacity, margin squeeze until 2028.

hypertechinvest.com/p/portfolio-update-part-2

Aurelion Research

Fabrinet: new roles must become profit.

read.aurelionresearch.com/p/in-conversation-nvidia

Steve Eisman Sep 9, 2026

NVIDIA has extended payment terms for investment-grade customers from 90 days to a full year, lengthening days sales outstanding by 14 days.

realeismanplaybook.substack.com/p/inside-ais-fragile-ecosystem-with

Steve Eisman Sep 14, 2026

Nvidia's top five customers accounted for seventy percent of accounts receivable for the quarter, and some of those customers including OpenAI are not in especially healthy financial condition.

realeismanplaybook.substack.com/p/the-big-short-partners-reunite-rates

8 VOICES

Voices that cross sides

Gaetano Sep 29, 2026

Tower already has $1.3B of contractual silicon photonics revenue commitments for 2027, backed by roughly $290M of customer prepayments, and management has said its actual 2027 SiPho expectations are substantially higher than that contractual...

gaetanoresearch.substack.com/p/tsem-the-foundry-behind-the-optics

Gaetano Sep 18, 2026

GFS is adding SiGe capacity to an optical business where demand already exceeds supply, and GFS has said its SiGe capacity is oversubscribed through 2027.

gaetanoresearch.substack.com/p/mrvl-just-gave-us-another-reason

Steve Eisman Sep 25, 2026

Off-balance-sheet AI financing is back because costs are exploding: Nvidia raised prices 15%, data centers are expensive and slow to build, and the big cloud companies that used to be capital-light cash machines will spend something like $700...

realeismanplaybook.substack.com/p/the-enron-era-tricks-are-back-in

Steve Eisman Sep 9, 2026

An inflection point will arrive at which expectations will no longer be rewarded so heavily and proof of concept will be required in the results.

realeismanplaybook.substack.com/p/inside-ais-fragile-ecosystem-with

Multibagger Ideas
Record backlog, 1% growth at CeoTronics; PPIH's Q3 test.
multibaggerideas.substack.com/p/new-multibagger-idea-24-growth-ai

Aurelion Research
Nvidia supply-bound; Fabrinet's roles still have to earn.
read.aurelionresearch.com/p/in-conversation-nvidia

Daniel Romero
HBM capacity exploding at TOWA, added too slowly at Group Up.
hypertechinvest.com/p/portfolio-update-part-2

Edelbridge Alpha Sep 14, 2026
Edelbridge Alpha rates Vertiv's execution risk 3.5/5, noting that while hyperscaler capex demand looks strong, the bigger question is whether Vertiv can scale manufacturing fast enough to keep up without sacrificing quality or margins, calling this…
edelbridge.substack.com/p/should-you-buy-vertiv

NOT A DISAGREEMENT

The thread
Part 10 asked what the profits are made of. Part 11 asks whether the orders behind them turn into profit, and finds the writers agreeing on the test and splitting on what a backlog is worth before it ships.

WHERE THEY CROSS

The specific points where one voice meets another: the same evidence read two ways, or the same mechanism with a different sign.

Gaetano qualifies Kevin on condition

Gaetano qualifies Kevin on evidence

Tae Kim contradicts Michael Burry on mechanism

Mia Silverio contradicts Tae Kim on evidence

Tae Kim qualifies Ren on condition

Tae Kim qualifies Ren on mechanism

Tae Kim qualifies Steve Eisman on condition

Steve Eisman contradicts Tae Kim on mechanism

Tae Kim qualifies Steve Eisman on evidence

Tae Kim qualifies Steve Eisman on mechanism

Ren qualifies Gaetano on evidence

Michael Burry qualifies Gaetano on evidence

Steve Eisman contradicts Aurelion Research on premise

Steve Eisman qualifies Edelbridge Alpha on evidence

Ren contradicts Steve Eisman on mechanism

Michael Burry contradicts Gaetano on mechanism

Gaetano contradicts Tae Kim on evidence

Torsten Slok contradicts Michael Burry on premise

Gaetano qualifies Tae Kim on evidence

Michael Burry contradicts Gaetano on evidence

Ren contradicts Tae Kim on mechanism

Steve Eisman contradicts Gaetano on mechanism

Steve Eisman qualifies Mia Silverio on evidence

JunkBondInvestor qualifies Torsten Slok on condition

THE DATED TESTS

What would settle it, on the Docket. A test is specified when an outsider can settle it without asking anyone: the question, the source, the rule and what happens if the source is late, revised or silent.

Oct 28, 2026 `p11-t01` PENDING

Microsoft reports: the share of backlog due within twelve months, 30% last quarter, and whether the near book's growth closes on the far book's 113%; at Alphabet, whether the TPU contracts inside cloud backlog get a size; at Meta, whether the $10.8 billion of restricted cash stays restricted.

Question	Did Microsoft's quarterly report for the quarter ended September 30, 2026 put the share of its remaining performance obligations expected to be recognized as revenue within the next twelve months at 30% or less?
Source	Microsoft Form 10-Q for the quarter ended September 30, 2026, revenue note on remaining performance obligations (SEC EDGAR, CIK 0000789019) `www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000789019&type=10-Q`
Rule	Read the sentence in the 10-Q's revenue note that gives the percentage of revenue allocated to remaining performance obligations Microsoft expects to recognize over the next twelve months. The answer is yes if the share is 30% or less (the book keeps drifting outward); no if it is above 30% (the near book is catching up). The growth of the near and far portions against last year's 37% and 113% is DeepStack's reading into the Result, not the answer.
If the source is late, revised or silent	If the 10-Q is not public on EDGAR by November 15, 2026, or states no twelve-month percentage, the test is inconclusive, and the Result says what was read and what was missing.

Nov 18, 2026 `p11-t02` PENDING

Nvidia reports: days sales outstanding after the move to a year of payment terms, whether five customers still carry 70% of receivables, and whether guidance near 70% moves toward the unconstrained figure as supply arrives.

Specification pending

Dec 9, 2026 p11-t03 PENDING

Oracle reports, on the day of the Fed's December decision: whether new remaining performance obligations keep arriving prepaid or with the customer's own hardware, the condition for a capex peak in fiscal 2027 and 2028.

Specification pending

December 2026 p11-t04 PENDING

Perma-Pipe's third quarter: 40% to 50% of the $142.3 million backlog converting, $57 million to $71 million, with gross margin moving toward 30% and no second receivable write-off.

Specification pending

The optics ramp p11-t05 PENDING

Ciena's $10 billion backlog into shipments, Lumentum's path to $11.1 billion of fiscal 2028 revenue and Coherent's statement that it sells everything it can make, each measured against the margin the company targets.

Specification pending

THE TEST CAME IN

No test from this Part has resolved yet. Results are promoted by a person and listed on the Results page.

SOURCES AND FURTHER READING

1. Apollo - hyperscaler credit rests on one consensus assumption · www.apollo.com/insights-news/insights/daily-spark/hyperscaler-credit-rests-on-one-consensus-assumption
2. Aurelion Research - in conversation with Nvidia · read.aurelionresearch.com/p/in-conversation-nvidia
3. Schwar Capital Research - Perma-Pipe's record backlog · www.schwarcapital.com/p/revenue-up-24-backlog-at-a-record
4. Prof G Markets - SB Energy's $439 billion backlog · www.profgmedia.com/p/nobody-wants-a-data-center-not-even
5. JunkBondInvestor - Keel Infrastructure's lease · www.junkbondinvestor.com/p/keel-infrastructure-keel-what-are
6. JunkBondInvestor - Credit Weekly, who the hike hits · www.junkbondinvestor.com/p/credit-weekly-who-the-hike-hits
7. 100 Bagger Hunting - Ilyda's visibility past 2027 · www.100baggerhunting.com/p/a-software-monopoly-priced-like-a
8. Daniel Romero - portfolio update, Group Up's ramp · hypertechinvest.com/p/portfolio-update-part-2
9. Aurelion Research - Ciena and Fabrinet, the road ahead · read.aurelionresearch.com/p/ciena-and-fabrinet-the-road-ahead

How DeepStack settles a question

Every Part of The Buildout asks one question and gathers the strongest case on each side from named investors and analysts, attributed, dated and linked. DeepStack then takes a side in The DeepStack Call, names what it would take to change its mind, and sets dated tests that an outsider can read on the day. When a test comes in, the result is published with its evidence, confirmed, refuted or inconclusive, and the Call's history records when the house changed its mind and why. No person is scored or ranked. No accuracy rate is shown until ten results exist.

Quoted passages are short, attributed by name and linked to their source; the paraphrases are DeepStack's. Quote this memo with attribution and a link to the canonical page.

This memo reflects the page as of October 12, 2026. Canonical page: https://deepstack.ltd/stories/the-backlog-is-not-the-quarter/. Who is on each side: https://deepstack.ltd/sides/the-backlog-is-not-the-quarter/.

Analysis and opinion, not investment advice.